consumption is discouraged, are known as demerit goods.

Externality : Uncompensated effect of an activity on a third party who may neither be a producer nor a consumer of the activity.

Intervention : An action intentionally carried out to sustain an activity or resolve an issue between two parties engaged in an activity.

Market : An arrangement, actual or virtual, facilitating voluntary exchange between two parties.

Market Power : Ability of a firm (or a group of firms) to dictate prices or quantity of goods and services i.e. keep prices above or quantities below the level that would have prevailed under competition.

Merit Goods : Goods that are seen as being useful to consumers, but may not be appreciative and their consumption is generally encouraged by society or government.

Ownership : A bundle of rights over a real, financial, or intellectual property, which can be separated and held by different parties.

Private Goods : Goods that are rival in consumption and consumers can be excluded with ease are called private goods.

Public Goods : Goods that are non-rival in consumption and consumers cannot be excluded altogether are public goods.

Regulation : A directive, law, or rule maintained by an authority to control an activity or process.

State : A human institution of organised political community or body politic.

6.11 REFERENCES

Books on Microeconomics, Public Finance, and Environmental Economics which include relevant chapters, would be good enough for the Unit. www.britannia.com and www.tutor2u.net could be websites among those which can be consulted. Constitution of India contains reasons for intervention in market in Part IV and Part XI– particularly Chapter I. For swings in the relative importance between market and State and changing complexion of the relationship between the World Development Reports of 1996 and 1997 would be an interesting read. However, one can profitably read following books/articles for advanced understanding:

1) Francis M. Bator (1958). The Anatomy of Market Failure, Quarterly Journal of Economics, Vol. 72, No.2. Available on internet.

2) Bernard Salonie (2000). Microeconomics of Market Failure, The MIT Press, Cambridge, Massachusetts.

3) Gordon Tullock et al. (2002). Government Failure: A Primer in Public Choice, Cato Institute, Washington.

4) Clifford Winston (2006). Government Failure versus Market Failure: Microeconomics Policy Research and Government Performance, AEI-Brookings Joint Centre for Regulatory Studies, Washington.

6.12 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) Government is only one component of State, other being People, Territory, and Sovereignty.

2) State word is also used for the constituent units of a State as it has practically all elements of State as defined in Political Science, the difference in some contexts being that 'sovereignty' being replaced by 'autonomy' in their designated spheres. States may be clubbed with Union Territories in certain references in India.

3) Market may mean the whole economy or its size, generally measured in terms of GVA. It may have broad types such as goods market, labour market, etc. But then, it has microeconomic connotation of market for a particular good.

4) Existence of private property or still better alienable property and laws of inheritance.

Check Your Progress 2

1) Production, provision, promotion, protection, restriction (on price, quantum or standards), regulation (on labour or environment), control and sharing information.

2) Agency, association, authority, bureau, board, committee, commission, corporation, council, foundation, institution, office, organisation, society or trust.

3) Price, quantity, and standards.

Check Your Progress 3

1) Existence of public goods, externalities, incomplete information, market power, merit/demerit goods.

2) Social cost is higher than private cost as part of the cost born by some third party. Social benefit is higher than private benefit as some benefit accrues to a third party.

3) Goods that are preferred by consumer but are discouraged for consumption by others in consumer's interest.

Check Your Progress 4

1) Efficiency mimics with equilibrium price and quantity in perfect competition. In markets where it does not obtain equilibrium price is higher but equilibrium

quantity is lower. As a result, there is some deadweight loss. Efficiency interventions try to reduce them. Equity intervention seek to disturb market equilibrium as its outcomes are perceived to be injurious to certain interests—say, labour.

2) Pegging wages at more than equilibrium level is likely to create surplus labour as supply quantity increases while demand quantity decreases. It might result in lower income to wage earners.

3) Enhancement of entrepreneurial skills is likely to improve entrepreneur's income.

Check Your Progress 5

1) Article 39(b).

2) Seventh Schedule of the Constitution under Article 246.

3) Both Parliament and State Legislature can legislate on the subject. Should there be a contradiction, legislation by Parliament shall prevail.

Check Your Progress 6

1) Intervention is welcome while interference is resisted.

2) Rent-seeking, regulatory capture, pursuit of self-interest, and irrational electoral demand.